goods industries. The productive capital of these industries increased from 50 percent in 1959 to 79 percent in 1990-91. This showed an increase in employment. The number of workers in factories and mines increased tremendously. Industrialization improved the iron and steel, fertilizers, chemicals, cement and non-ferrous metals industries. New capital goods industries were started and developed.

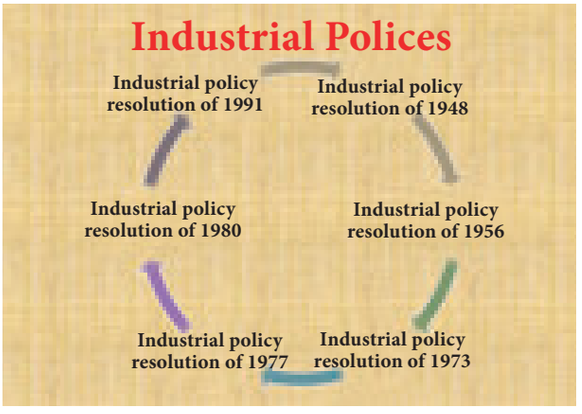
During this period, there was a huge expansion of infrastructural facilities in the country. The petrochemical industries developed with efficient refineries, pipelines, storage and distribution systems. These were drastic changes in the economy with improved irrigation system, storage works and canals, hydro and thermal power generation, improved railway system and well laid national and state highways. Better transportation and developed telecommunication system were instrumental in connecting India to the rest of the world.

With the introduction of economic reforms in India, there were changes in the industrial pattern of India. There was faster growth of capital goods and consumer goods and there was a slowdown in the rate of growth of basic industries. The growth in banking, insurance and commerce and also the expansion and modernization of ports, shipping and both domestic and international air services have all been due to these economic changes which led to enlargement in industries.

Tremendous changes happened in the field of science and technology as well. The contribution of Indian scientists to different fields including agriculture, industry, technology, communication etc. have been tremendous. Many people were trained in the technical field which included cement factories, chemical fertiliser units, oil refineries, power houses, steel plants, locomotive factories,engineering industries etc.

Industrial policy

An effective industrial policy is essential for any industrialised nation. It enables the state to have proper policies, rules and regulations so that the industries can be regulated and the process of industrialization benefits the economy and the society.



Industrial Policy Resolution 1948

As the Indian system incorporated the concept of a mixed economy, the Industrial Policy Resolution adopted in 1948 emphasised that both the public sector and private sectors would function in their respective spheres. All the key industries were to be under the control of the central government. The public sector had control over arms and ammunitions, the production and control of atomic energy, railways etc. which were to be the exclusive monopoly of the central government. The state also had control over

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